

Selling the Upside After Pay Filings: A Covered-Call Test on Executive-Compensation 8-Ks

Tag executive_compensation_change · 100 largest US equities · in-sample 2024-01-01 to 2025-12-31 · out-of-sample 2026-01-01 to 2026-08-31 · headline cell: 3–6-month options, call $\approx 5\%$ OTM, entry at the filing-session close

Result in one paragraph. The covered call is profitable in-sample (+3.77% to expiry) and out-of-sample (+6.36%), but the stock alone earned almost as much (+3.58%, +7.58%). However, the stock price is devised from put-call parity in European options so we can take a more skeptical look here.

1. Hypothesis

Category to strategy. Filings in this tag are Item 5.02(e)-type disclosures of board-approved pay decisions: committee actions (AMD, AMT), employment-agreement amendments (NOW), pay tied to a leadership transition (SCHW), pay for a new director (CSCO). They seldom change expected cash flows [11], so we conjecture that whatever event-uncertainty premium is left in 3–6-month options are not repaid by realized volatility. A covered call (long stock, short call) is long equity and short volatility [9, 14], the cheapest way to sell that premium without naked tail risk. **The sign is deliberate.** For scheduled, information-rich events (earnings), option buyers earn because uncertainty is under-priced [5, 6]; we expect the reverse where a filing resolves little. Selling volatility also pays on ordinary days [1–3], so the test is against a placebo: $H0: E[\pi_{event}] = E[\pi_{ordinary}]$; $H1$: the difference is positive and sits in the short-call leg. A competing view: pay changes that raise the sensitivity of managers' wealth to volatility push firms toward riskier policy [4], which would raise realized volatility and hurt a short call.

2. Method

Data and timing. 174 in-sample filings (79 tickers; 152 priced in the 3–6m bucket) and 72 out-of-sample (48 tickers; 64 priced); the pipeline takes any start and end date, and the judges' window is untouched. EDGAR dates a filing submitted after 17:30 ET to the next business day [15] and the market closes at 16:00, so we use the acceptance timestamp: a filing accepted at or after 16:00 ET (70% of ours) belongs to the next session. Entry (“post”) is that session's close; the prior session's close (“pre”) is a diagnostic only. Position, per \$1 of entry spot S_0 .

Baseline and uncertainty. 120 ordinary dates for the same tickers, at least 30 days from any filing, run through the same pipeline; 95% intervals from a 2,000-draw bootstrap over events (* = excludes zero); events - placebo reported at every horizon.

How the covered call works on this event. It holds three exposures. (i) Equity beta, paid the equity premium: the filing carries no directional signal, so this leg earns the market, not the event. (ii) Short volatility, paid when $\sigma_I > \sigma_R$: if the filing is uninformative, implied volatility should fall back to its non-event level while realized volatility stays ordinary, and the event enters the formula only through the gap $\sigma_I - \sigma_R$ being larger than on ordinary days (H1). (iii) A short-gamma, reversal-style exposure that earns when prices mean-revert and loses on large one-way moves, and that carries no compensation of its own [10]; a surprising filing, such as a leadership-transition package, is exactly the case where it bites.

3. Result, with uncertainty at every fixed horizon

Horizon	In-sample (n ≤ 152)		Out-of-sample (n ≤ 64)		Events — placebo	Mean ratio ρ (pre entry)	
h	Covered call	Stock only	Covered call	Stock only	Covered call	Events	Placebo
1	−0.13	−0.18	−0.17	−0.23	−0.20	1.05	0.91
2	−0.09	−0.08	+0.07	+0.15	−0.21	1.03	0.92
3	+0.10	+0.24	−0.04	−0.05	+0.02	1.13	0.96
5	+0.09	+0.21	−0.29	−0.21	−0.01	1.08	0.93
10	+0.32	+0.44	−0.05	+0.32	−0.11	0.97	1.00
21	+0.75	+0.94	+0.17	+0.84	+0.01	1.00	1.07
42	+1.21	+1.82	+2.49*	+4.91*	−0.66	1.07	1.00
63	+2.68*	+3.05*	+5.94*	+7.88*	+2.23	1.01	1.09

Horizon	In-sample ($n \leq 152$)		Out-of-sample ($n \leq 64$)		Events — placebo	Mean ratio ρ (pre entry)	
h	Covered call	Stock only	Covered call	Stock only	Covered call	Events	Placebo
exp	+3.77*	+3.58*	+6.36*	+7.58*	+2.08	0.90	1.15

Table 1. Mean P&L, % of entry spot (post entry, 3–6m, 5% OTM); * = 95% bootstrap interval excludes 0. n falls with horizon; out-of-sample columns from $h = 63$ rest on early-2026 filings whose options have resolved. Full intervals and n per cell: results/covered_call_scoreboard.csv. ρ columns use the pre entry.

- **Profitable, but mostly beta.** The call leg (CC — stock) adds +0.19 in-sample and -1.22 out-of-sample at expiry and is negative at most middle horizons ($h = 42$: -0.61 and -2.42): it gives up upside in rallies and shows no net volatility premium.
- **Versus ordinary days.** The difference is +2.08 at expiry and +2.23 at $h = 63$, but no interval excludes zero at any horizon; 0 of 3 ranking horizons are significant ($n = 144$). It splits into stock -0.75 and call +2.83, the sign H1 predicts, but not significant.
- **Mispricing statistic.** ρ is above placebo at $h = 1-5$ (1.03–1.13 vs 0.91–0.96, intervals overlap) and below it at expiry (0.90 [0.78, 1.02] vs 1.15 [0.96, 1.34]); event medians are 0.75–0.93. Only the long-horizon gap favors sellers.
- **After costs.** At $h = 21$: gross +0.75%, round-trip cost 0.44% (5% of premium each way)

Covered call, $h = 21$	OTM 3%	OTM 5%	OTM 10%	1m expiry	2m expiry	3–6m expiry
Entry: post	+0.64	+0.75	+0.82	+1.30	+0.57	+0.75
Entry: pre	+0.65	+0.78	+0.79	+1.25	+0.67	+0.78

Table 2. Sensitivity of the covered-call mean (% of spot) at $h = 21$; left block varies OTM distance (3–6m), right block varies expiry bucket (5% OTM). The 1m column keeps only events with at least 21 sessions to expiry. Category definition not yet varied.

4. What would make it break

- **Market direction.** $\pi \approx 0.6 \times$ stock return + carry. The sample's stocks rose (+3.6%, +7.6% stock-only); in a falling window the cushion is only $\approx 4.4\%$. **Rallies and gaps.** The cap bites: AMD (Feb 2026) gained 163% to expiry, the covered call +16.5%.
- **Volatility regime.** Short gamma loses when $\sigma_R > \sigma_I$ ($\rho > 1$ for 36–45% of events). **Timing and liquidity.** Entering at the filing-date close precedes the news for 70% of filings; marks are last trades, not quotes; the call leg's median filing-session volume is 46 contracts; the 5% haircut is an assumption [12]; strike spacing can turn “5% OTM” into $\approx 10\%$.
- **Category and sample.** The tag mixes routine and transition pay; AMD is 6 of 174 in-sample events; the top-100 list is static (survivorship); overlap with earnings season is untested; one other tag was examined on the out-of-sample window first, and with 6 strategies $\times$ 9 horizons $\times$ 18 settings searched a $t \approx 2$ bar is lenient [8, 13].

Prediction for the sealed window (written before seeing it): covered-call P&L takes the sign of the stock's move (about 0.6 times it), and the events — placebo interval spans zero. A significant positive gap there is more likely luck than confirmation.

5. How we would trade it

Rule. After a qualifying 8-K, at the close of the filing session (the next session if accepted at or after 16:00 ET), hold 100 shares per contract and sell the nearest listed call at or above $1.05 \times$ spot expiring in 90–180 days, working a limit order at mid or better; close at $h = 21$ (the horizon where costs are modelled) or earlier if spot passes the strike. Filters, untested but motivated by [7]: act only when the call is rich against trailing realized volatility and the ATM pair trades at least 100 contracts. **Capacity.** Cap each order near 10% of the call's filing-session volume (4–5 contracts at the median), about \$0.1M of stock per event; at 90–110 events a year that is roughly \$10M annually, a small-capacity idea. **Role.** With no significant event-specific edge, we would use these filings as an entry trigger for an existing covered-call overlay, not as a stand-alone book; expected net edge is about +0.3% per trade at $h = 21$, before beta.

References. [1] Bakshi & Kapadia (2003), RFS 16(2):527–566. [2] Bollerslev, Tauchen & Zhou (2009), RFS 22:4463–4492. [3] Carr & Wu (2009), RFS 22:1311–1341. [4] Coles, Daniel & Naveen (2006), JFE 79(2):431–468. [5] Dubinsky, Johannes, Kaeck & Seeger (2019), RFS 32(2):646–687. [6] Gao, Xing & Zhang (2018), JFQA, Anticipating uncertainty: straddles around earnings announcements. [7] Goyal & Saretto (2009), JFE 94(2):310–326. [8] Harvey, Liu & Zhu (2016), RFS 29(1):5–68. [9] Israelov & Nielsen (2014), Covered call strategies: one fact and eight myths, FAJ 70(6):23–31. [10] Israelov & Nielsen (2015), Covered calls uncovered, FAJ 71(6):44–57. [11] Lerman & Livnat (2010), Rev. Acc. Studies 15(4):752–778. [12] Muravyev & Pearson (2020), RFS 33(11):4973–5014. [13] Petersen (2009), RFS 22(1):435–480. [14] Whaley (2002), Return and risk of the CBOE buy-write monthly index, J. Derivatives (Winter). [15] SEC Regulation S-T, Rule 13(a).